

Memorandum

To: Silent Partners
From: B13, 06, Brooke Dohrmann, David Ewing, Angel Mata, Hannah Michalec, Sarah Stallman
Date: October 7, 2026
Re: Staffing Decisions and Financial Sustainability at The Great Gatsbybean

The purpose of this memo is to respond to your proposal to replace one of our full-time managers with part-time employees. In this memo, we address your concerns, the concerns of our employees and local economic development leaders, the relevant ethical principles, and our final decision.

Silent Partner Concerns

We understand that, as silent partners, you naturally approach the situation from a shareholder perspective, and your main concern is economic responsibility. The **shareholder model** is a view of social responsibility that emphasizes maximizing profits to benefit shareholders (Williams, 2021, sec. 4-5). From this perspective, businesses should prioritize profitability, allowing owners to decide how to use their own money to support the social causes they value. Looking at the current financial situation at The Great Gatsbybean, economic pressures outside of our control have led to a decrease in profits. The shareholder model suggests that we should reduce expenses to increase profits. In our case, this would mean letting one of our full-time managers go and replacing them with one or more part-time employees. Reducing hours and eliminating full-time benefits would increase our profits, allowing the business to retain more earnings while also passing savings on to our customers. This would keep in line with the shareholder model of prioritizing the maximum profit of the business.

Another view is that of **economic responsibility**, a business's social responsibility to provide a good or service of value to make a profit (Williams, 2021, sec. 4-6). This is often viewed as a business's most basic responsibility: to generate revenue while providing something of value to society. At The Great Gatsbybean, economic responsibility means focusing on maintaining profitability while continuing to provide customers with a product they value. By cutting employee expenses, we could increase profits while continuing to provide customers with the coffee and service they value. The goal is to make financially responsible decisions that allow the business to continue providing value to customers while also protecting the interests of its owners. It is vital that the business be able to perform its most basic duty of making a profit by providing a valuable service.

Employee Concerns

The managers are concerned that reducing the full-time staff will increase their workload, while the other employees are concerned about their job security and ability to provide high levels of customer service. The **stakeholder model** states that management's most important responsibility, long-term survival, is achieved by adhering to the interests of stakeholders (Williams, 2021, sec. 4-5). One of the primary stakeholders of our company is the employees, since the company depends on them for its long-term survival. For this reason, it is important to

keep their best interests in mind. Any decisions our company makes should consider our employees' well-being and how each decision may benefit or harm them, not just the interests of our shareholders. Letting go of full-time staff would not be in the best interest of our employees. The managers have already been working extra hours without overtime pay, and letting one of them go to cut expenses would leave the other manager to run The Great Gatsby alone. At the same time, the other employees may face feelings of uncertainty, and their performance may suffer as a result.

In an article on layoffs and downsizing for EBSCO, an academic research database, Francis Duffy (2023) explains that letting employees go disrupts the internal social network within an organization, where employees can exchange information, ask for and offer advice, and share resources. This means that when a business loses a manager, employees lose a leader to turn to for guidance or support. Replacing our full-time manager with part-time employees may ultimately damage the inner workings of our company by weakening this network. The remaining employees may also become dissatisfied with their jobs as they take on the departing manager's responsibilities. This extra workload could also increase stress. According to the American Psychological Association's 2023 Work in America Survey, 77% of workers reported feeling stress in relation to their work in the past month (American Psychological Association, 2023). This shows that stress is already a common problem for most workers. Adding any additional responsibilities to the part-time staff's workload could lead to burnout.

Local Economic Development Leader Concerns

We understand your concerns about profitability, but it is also important to consider that local economic development leaders are concerned about rising unemployment and the overall economic health of the community.

The principle of **magnitude of consequences** describes the total harm or benefit derived from an ethical decision (Williams, 2021, sec. 4-3a). Simply put, this idea means that the company should weigh how much its decisions affect the business, as well as the economic health of the local community. In our case, cutting a full-time managerial spot could have repercussions for both the company and the community. Full-time positions normally offer more benefits and more stable income than part-time roles, which creates a more stable workforce. Higher unemployment rates in the local community are already a concern, and eliminating a full-time position could mean people might start to question the long-term stability of The Great Gatsby. These factors are important to consider when evaluating how employment decisions may affect both the company and the local economy.

According to research done by economists Brad Hershbein and Bryan Stuart, published in the peer-reviewed American Economic Journal, local areas that lost more jobs during U.S. recessions between 1973 and 2009 experienced steady declines in employment, population, and earnings per capita that did not recover when the national economy did (Hershbein & Stuart, 2024). This means that if multiple businesses in one community lay off workers at the same time, the damage lasts longer than the recession. Even replacing one of our full-time managers for part-time employees is relevant because it replaces a full-time job with benefits with lower-earning part-time positions. This is why the local economic development leaders have asked companies not to lay off employees. The leaders want to help ensure the long-term stability of the local economy, so they want businesses like The Great

Gatsbean to maintain full-time employment positions even if it means hurting profits in the short term to keep full-time jobs. From their perspective, when people get to keep their jobs, they continue spending money at local businesses, which helps the whole community recover, including us.

Relevant Ethical Principles

When considering the removal of a full-time position, we believe the most relevant ethical principles are long-term self-interest, distributive justice, and utilitarianism. The principle of **long-term self-interest** states that companies and business owners should never take an action that is not in their long-term best interest (Williams, 2021, sec. 4-3c). This means that a business should judge each decision based on how it affects the company's future success, not only its immediate profits. Although cutting our current full-time staff and relying on part-time workers could decrease wage expenses, this may affect service quality and the company's reputation over time, as well as limit productivity if sales increase again as projected. For this reason, the long-term self-interest principle suggests that the company should keep both full-time managers.

Additionally, the ethical principle of **distributive justice** can be considered in this situation, which emphasizes that businesses should avoid taking actions that harm less fortunate individuals (Williams, 2021, sec. 4-3c). In other words, this principle highlights the potential impacts on the employee who would lose their full-time position. In our situation, local unemployment is rising as other companies let employees go, so a manager who loses this job would struggle to find comparable full-time work. While the business would only see a reduction in costs, the employee would lose their primary source of income and benefits during a challenging time. This ethical principle suggests that we should keep both full-time managers to protect an employee who would be among the least fortunate if the position were cut.

Finally, the principle of **utilitarianism** states that the most ethical decision is the one that generates the greatest good for the greatest number of people (Williams, 2021, sec. 4-2c). This means that rather than focusing on one group, utilitarianism weighs the benefits and harms of a decision across everyone it affects, including owners, employees, customers, and the community. We share your concerns about making profits, and cutting a full-time manager would lower labor costs. However, the effects of this change would extend beyond one position. The remaining manager would take on the full workload, and customers could experience lower-quality service. Since keeping both managers benefits more stakeholders than cutting a position would, utilitarianism suggests we should keep both managers.

Research in business ethics supports these conclusions. In a peer-reviewed Business Ethics Quarterly article, "*Practice, Reason, and the Good: Human Nature and MacIntyrean Business Ethics*," scholars Bernacchio and Sinnicks identified how working conditions affect employees' well-being. They argue that precarious work makes it difficult for workers to meet their basic needs (Bernacchio & Sinnicks, 2026). This means that replacing one of our managers with part-time employees who receive no benefits would move more workers into this kind of insecure position. Our own recent experience shows this risk, since part-time employees were the first to lose work when our

sales declined. This research supports keeping both managers because full-time jobs better protect our employees' well-being.

Our Decision

After reviewing the different viewpoints and concerns of our silent partners, employees, and the local economic development leaders, we have decided to keep both our full-time managers instead of replacing one with part-time employees. First, we believe there are more factors to take into consideration than just profit. Even while the shareholder view focuses on increasing profits (Williams, 2021, sec. 4-5), cutting a manager could cost more over time by weakening our customer service and reputation. Second, we believe keeping both managers better addresses the concerns and interests of everyone affected by this decision. Under the stakeholder view (Williams, 2021, sec. 4-5), our employees' interests matter, and keeping both managers shows that we value their effort during this downturn. Third, we believe we have a responsibility to the community we serve. With local unemployment rising, cutting a full-time job could add to the lasting damage job losses cause in a community (Hershbein & Stuart, 2024). This would also hurt the local customers we depend on. Fourth, this decision follows the principle of distributive justice (Williams, 2021, sec. 4-3c). No one at The Great Gatsby should lose their livelihood just to raise profits, especially while jobs in our area are hard to find.

We understand that this is not aligned with your original plan. However, here is what we will do moving forward to protect profitability. First, as sales are forecasted to pick up again this fall and winter, we will hire back part-time employees as planned. This will reduce our managers' extra hours. Second, we will review supplier and inventory costs to find savings outside of payroll. Since inflation has increased our costs, finding better prices and reducing wasted inventory would lower our expenses and improve profits without having to cut any jobs. Third, we will record sales and track costs which will be shared with you monthly and revisit the staffing plan if sales have not recovered by the end of winter. We believe this plan allows The Great Gatsby to improve its profits while still protecting our employees, our customers, and our community. We value your investment in our business and look forward to collaborating with you to make The Great Gatsby successful in the long run.

References

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